

Trading systems

Resolve:

-SEC Agent should not add in score card or any decision made by final agent(CEO)

-DOM or any other features should not be included which can cause a failure due to limited data or wrong integration. For example Institutions put an order to buy 10000 shares to see openly for public and cancel right away to loot retailer buy. We should avoid such traps and either we don't integrate and add it in future enhancements section or we integrate with maximum safety to get updated whole data and make informed decisions with help of intelligent CEO(either paid one).

-Enhance MACD,RSI and other indicators which make our signal lazy.

-What our so called "Institutional Agent" even does? Any thing it can work which is useful and accurate and helpful to determine correct trade? WE have simple IBKR paper account. Nothing paid in that. It has main live acc funded. What is L2 subscription? "Misleading and lazy data leads to false confidence in signals." • Market makers routinely place and cancel large orders ("spoofing") to manipulate visible DOM

-Unusual options strike data should be calculated. There must be some way. Find it.

-Volume Profile from Tick Data Is an Approximation is it okay to use or it can mislead signal?

-How to remove every indicator lag and to get accurate signals?

-Fix options:

- **v1 (Accept):** Ship with these weights, paper trade for 30 days, then adjust based on real data. Log every indicator's individual contribution to winning vs losing trades.
- **v2 (Optimize):** After 30 days of data, run a simple optimization: which indicator combinations predicted the best trades? Adjust weights accordingly.
- **v3 (Advanced):** Implement dynamic weighting based on detected market regime (see Weakness 8 below).

I liked it. How to verify why signal was generated and which indicator was most helpful In our system?

-I would like Request 15m and 1h bars to calculate accurately. Search a reliable solution.

— • **v1 (Simple):** Use ATR + ADX (Average Directional Index) to classify regime:

- $ADX > 25 + \text{rising} = \text{TRENDING} \rightarrow \text{trust EMA/MACD}$
- $ADX < 20 = \text{RANGING} \rightarrow \text{trust VWAP/BB/RSI}$
- $ATR > 2 \times \text{average} = \text{VOLATILE} \rightarrow \text{reduce position size, widen stops}$
- $\text{Volume} < 50\% \text{ average} = \text{LOW_VOL} \rightarrow \text{no new entries}$

- **v2 (Better):** Add ADX as an 8th indicator and adjust weights dynamically based on regime

I liked this suggestion. If it works well. Because in choppy market Macd

traps the trade. How to be saved from that?

-If System B is misleading and we have no useful source to determine market, why we are using it or why we are not making it valuable? Can an LLM agent find a way around for this system to be useful than paying to different institutes?

-Keep backtest lab as it is. No need to add penalty.

-It is not implemented on my IBKR account so no need to implement " 1 CEO must check day_trades_remaining > 0 BEFORE firing any signal" etc.

-MACD: The signal is real but LATE. By the time MACD crosses, the move is often 30-50% complete. How to improve it?

-For options data, either we **Build our own from IBKR**, Possible but complex — adds 10+ IBKR requests per scan cycle. Approximate results., OR **Tradier-**

>We'd have to BUILD our own unusual detection logic from raw chain data. Which ever is best.

- • **Consider Alpaca as backup** if Finnhub free tier changes terms. Alpaca's 200 req/min free tier is generous, and they support WebSocket streaming.

-**Improve news section, get from more places, also look for ibkr news and find a good way for sentiments. Maybe small LLM less costly agent?**

-Faster SEC Filing Detection: **(Free upgrade)**: Switch from EFTS polling every 10 min → EDGAR RSS feed polling every 60 seconds. Same data, ~10x faster detection, still free.

-Drop gold and DXY from signal inputs. No need to show anywhere or calculate decision based on that.

-Verify are we calling (Finnhub /company-news, EDGAR RSS, IBKR ETF proxies).??

CONCERNS:

-We need 100% matching graph and indicators matching to trading view. Is it so now? Or need improvement?

-Sometimes this happen that even before trend starts, MACD below lines start to fade and drop before converting to upwards, that is when major price chunk move upwards. We are not capturing it so we are just getting only 30% from total win.

-Should we reduce indicators and work on quality than quantity? It feels like it's gonna take time when a signal is generated because system will wait for all the indicators to be accurate or positive which can eat major chunk of profit. Thoughts? or add more indicators instead? Share your idea and what major institutions or big traders use or do? What is better for 5m trade? Because we want 2 or 3 per day good 5 min trades. So it is very crucial to get good out of it.

-Does our system is decoupled enough that it won't break if one agent or

part is not working?

-Will we be well informed about a faulty system?

-Will we be well informed about error if a part/agent is facing so we can resolve?

-Have we increased complexity of our system, it can be simplified?

-Should we start using an LLM agent with around \$0.005 etc cost to help us improve this system better?

-Should we start using an LLM agent with around \$0.005 etc for news decisions and sentiments training? (Like Trump started a war, Said something on Truth social media, Any news about US economy. All of these news should be scanned with previous such news and their impact on market, then better inform calculated decisions with some intelligence).

-Should we start using an LLM with around \$0.005 etc cost to improve by time so he can understand core logic and reason of developing this system, he can analyse and be better with time by remembering his old decisions. But reliable enough if/when we update, it won't lost his memory.

ASK:

-Isn't it better we start developing an app rather than a local webpage on MacBook. Design for open public mindset. Host somewhere on cloud so it is not dependent on MacBook only. Test and change after each few days. First start with few known indicators and later add more details into it rather than developing it as a whole complicated and untested system? I am familiar with MACD(12 26) on trading view, 5m, 15m, 1h, 4h/1d graph of Macd and news. It worked for me previously but I wanted to have better improvements so I don't stuck again or no one else won't stuck again so I started this. Should we add few more improvements into that and start it or build this whole system?

But what you prefer? First build and test on MacBook until success gain or start with app building using ai and test into that alongside as purpose is app ultimately and not on locally. Thoughts??

ENHANCEMENT:

-What is required to enhance this project as a proper trading firm?

-What Changes would be required so that multiple even 100,000 users can use app/web at a time?

-How much production development would take time and what is main difference between that and current development?

NOW:

-Should we first have a small prototype to test and tweak our values and adjust before developing this system or we should continue with it and make tweaks in it?

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FINDING OF GOOD DAY TRADING STOCKS: (IMPORTANT)

-There are few stocks which are good for day trading or 5min trading. Not every stock is capable of it. Because of that there should be a feature in our system to find those stocks which have interest of buyers and showing heavy trading activity on them.

Finding could be from options data, Yahoo finance stocks news, Top gainers, IBKR top gainers or also from somewhere else recommended by you(AI).

Show those stocks inside a section acc to their category like AI, Energy, War, Health, Insurance, Property or any other sector.

-Before adding, check those stocks 1D specifically. If MACD

GOOD POINT:

The Problem

Our system scores every candle identically. A MACD cross in a strong trend is a valid signal. The same MACD cross in a choppy range is a trap. Without knowing the regime, we'll take 30-40% of trades in the wrong environment.

The Solution: Add ADX (Average Directional Index) as Regime Classifier
ADX measures **trend strength** (not direction). It's the only common indicator designed to answer "is this market trending or ranging?"

Formulas:

-Main thing is trading formula. What is our exact entry point, when a signal of entry is generated? Based on which factors?

How does Target points are calculated? Based on which factors?

How does Stop loss is calculated? Based on which factors?

What happens if a stock goes up but didn't hit a level of target point although achieved something. Like Apple from 314 entry, 315.20 Target 1, 316 Target 2, 313.70 Stop loss. But stop went from 314 entry point to 315 and suddenly started dropping, instead of touching any target price but ultimately touch stop loss.

We waste one point of profit. Where does that waste goes? How can we save it?

PREPERATION:

There should be a before entry Preparation notification so user can be prepared.

WHEN?:

-MACD is currently down

ENTRY: (Could be true sometimes and false sometimes due to ADX slope dependency. Checked manually)

-Macd started making upwards bars, Ema is crossed, ADX indicator

usecase (instead of using simple if Adx is above 25 then it's a good trade, we should use smart strategy. For example given below) If ADX slope is setting to come upwards, comparison from last 3-5 bars, Check bars height as compared to previous successful entries signals for that stock, compare and if height/volume of orders are average or above Shoot entry signal.

The fix: use ADX slope + DI spread, not a fixed level

Instead of gating on ADX's absolute value, gate on:

1. **DI+ vs DI- spread** (the directional indicators ADX is built from) — this tells you *direction and dominance* independent of magnitude. If DI+ stays clearly above DI-, the trend structure is intact even while ADX itself is falling.
2. **ADX slope** (rising vs falling over the last 3-5 bars) — a rising ADX from a low base is a *stronger* buy-confirmation than an already-high ADX that's now flattening.
3. **Price structure** — higher highs / higher lows still forming is a direct check that doesn't depend on ADX's lag at all.

AVOID ENTRY:

-IF MACD upwards bars height is below average for that specific stock as compared to previous successful signal time bars.

EXITS:

-Exit 1-> When MACD had one faded bar, start waiting for next bar, if it's also faded one and smaller in height like in volume size, shoot exit immediately. Can we implemented an agent which can learn gradually and eventually be able to anticipate this calculation that it feel like it will be small in volume size (bar height) shoot exit signal immediately. (Agent should intelligent to calculate bar height in advance so it can give accurate information. Extra check)

-Exit 2->When MACD had one faded bar, start waiting for next bar, if it's not faded one but smaller in height/volume of orders -> shoot exit.

-Exit 3: Either MACD is upwards, bars are full not faded but ADX started downwards slope, Shoot exit. Follow previous 2 bars of ADX.